

Procurement Policy

Nexus Global Solutions Ltd. | Supply Chain & Procurement | Finance

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1. Purpose

This Procurement Policy defines the framework for acquiring goods, services, and works on behalf of Nexus Global Solutions Ltd. ('the Company'). It promotes value for money, fairness, transparency, and ethical supply-chain practices, while ensuring compliance with applicable law, regulation, and the Company's own governance standards.

2. Scope

This policy covers:

- All direct and indirect spend, including capital expenditure (CAPEX) and operational expenditure (OPEX), regardless of funding source
- All employees, managers, and authorised agents who commit the Company to expenditure
- All third-party vendors, suppliers, contractors, and service providers
- Technology procurement, including software licences, SaaS subscriptions, and hardware
- Professional services, consultancy, and temporary labour

Exclusions: Payroll, inter-company transactions, statutory payments, and employee expense claims (see FIN-POL-001).

3. Procurement Principles

Principle	Description
Value for Money	Optimise the combination of quality, service, and cost over the total lifecycle of the contract.
Open Competition	Seek competitive offers wherever feasible to prevent monopoly dependency and encourage market innovation.
Transparency	Maintain clear audit trails for all sourcing decisions, evaluations, and awards.
Integrity & Ethics	Zero tolerance for bribery, corruption, conflicts of interest, and anti-competitive behaviour.

Sustainability	Prefer suppliers with demonstrable environmental, social, and governance (ESG) commitments aligned with the Company's Net-Zero 2040 target.
Risk Management	Assess supplier financial stability, operational resilience, and data-security posture before award.
Compliance	Adhere to all applicable laws (UK Modern Slavery Act, GDPR, export controls, sanctions) and contractual obligations.

4. Sourcing Thresholds & Competition Requirements

The following thresholds determine the minimum level of competitive sourcing required. Cumulative annual spend with a single vendor is used where individual orders are below the threshold.

Tier	Annual / Contract Value	Sourcing Requirement	Approver
1	< £5,000	3 verbal or written quotes	Line Manager
2	£5,000 – £24,999	3 written quotes (email acceptable)	Department Head
3	£25,000 – £99,999	Formal RFQ with scored evaluation	VP + Finance BP
4	£100,000 – £499,999	Full RFP with cross-functional evaluation panel	CFO
5	≥ £500,000 or strategic	RFP + Board/Exec Committee approval	Board or Exec Committee

Sole-source justification (SSJ) is required when competition is waived. An SSJ must be approved one level above the standard approver and filed in the Procurement register. Valid grounds: patented technology, emergency, regulatory mandate, or proven absence of alternatives.

5. Vendor On-boarding & Due Diligence

5.1 Mandatory On-boarding Checks

Check	Applies To	Owner
Company registration verification	All tiers	Procurement
Sanctions & PEP screening	All tiers	Compliance / Procurement
Financial health assessment (Dun & Bradstreet or equivalent)	Tier 3+	Finance
Anti-bribery & Modern Slavery attestation	All tiers	Procurement
Cyber security questionnaire (ISO 27001 or SOC 2)	Tier 2+ (data-handling vendors)	IT Security
GDPR / data-processing agreement (DPA)	Any personal data processing	Legal

ESG self-assessment	Tier 3+	Sustainability / Procurement
Insurance certificate (min. £5 M public liability)	Tier 2+	Procurement

5.2 Approved Vendor List (AVL)

Once approved, vendors are added to the Company's Approved Vendor List and are subject to annual re-validation. Vendors with outstanding issues, poor performance (below 3/5 on the Vendor Scorecard for two consecutive quarters), or sanctions hits are placed on hold pending remediation or removal.

6. Contract Management

6.1 Contract Requirements

- All purchases > £5,000 must be governed by a signed contract or purchase order (PO). Verbal contracts are not binding on the Company.
- Standard Company terms and conditions (T&Cs;) must be used unless Legal has approved supplier T&Cs; in writing.
- All IT and data-processing contracts must include mandatory data-protection clauses reviewed by Legal.
- Contracts with a value > £100,000 or term > 3 years require Legal review before signing.
- Auto-renewal clauses must be highlighted and managed in the Contract Register with a 90-day reminder trigger.

6.2 Contract Lifecycle & KPIs

Procurement maintains a central Contract Register. Category Managers are responsible for monitoring the following minimum KPIs per strategic supplier:

KPI	Target	Review Frequency
On-time delivery rate	≥ 98%	Monthly
Invoice accuracy rate	≥ 99%	Monthly
Vendor Scorecard overall rating	≥ 3.5 / 5	Quarterly
Savings vs. baseline (cost reduction)	≥ 3% year-on-year	Annually
Sustainability / ESG rating	Improve year-on-year	Annually
Security incident rate	Zero critical incidents	Continuous

7. Purchase-to-Pay (P2P) Process

S t e p	Activity	System	Owner
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1	Raise purchase requisition (PR)	SAP Ariba	Requester
2	Budgetary check	SAP S/4HANA	Finance BP
3	Sourcing / quotation (if Tier 2+)	Ariba Sourcing	Procurement
4	Vendor selection and approval	Ariba + Email	Approver (see Section 4)
5	Issue Purchase Order	Ariba	Procurement / Requester
6	Goods / service receipt confirmation	Ariba / SAP	Requester
7	3-way match (PO / receipt / invoice)	SAP	Accounts Payable
8	Payment within agreed terms	SAP	Accounts Payable
9	Vendor performance update	Vendor Portal	Category Manager

Maverick spend (purchasing outside the P2P process) is not permitted. Invoices received without a valid PO will be returned unpaid. Repeat offenders will be subject to disciplinary review.

8. Conflicts of Interest

All employees involved in procurement must declare any personal, financial, or familial interest in a supplier before participating in any sourcing activity. Failure to declare a conflict is grounds for disciplinary action. Declarations must be submitted via the Conflict of Interest Register maintained by the Compliance team. The individual must recuse themselves from evaluation and decision-making in respect of the conflicted supplier.

9. Sustainable & Responsible Procurement

The Company is committed to embedding ESG criteria into sourcing decisions:

- Minimum 10% weighting for ESG criteria in all Tier 3+ RFP scoring matrices
- Preference for suppliers with verified carbon-reduction targets (SBTi-aligned)
- Mandatory Modern Slavery Act attestation for all suppliers; enhanced due diligence for high-risk categories (manufacturing, logistics, raw materials)
- Annual Responsible Sourcing Report published internally and externally
- Supplier development programme for strategic partners to improve ESG performance

10. Policy Governance & Compliance

Role	Responsibility
Chief Procurement Officer (CPO)	Policy owner; escalation point; signs off Tier 4–5 awards
Procurement Business Partners	Day-to-day advisory; category management; sourcing execution
Finance Business Partners	Budget confirmation; 3-way match oversight; payment terms

Legal	Contract review; T&C; approval; DPAs; regulatory compliance
Compliance / Ethics	Conflict of interest; sanctions screening; anti-bribery
Internal Audit	Annual procurement audit; sampling and reporting

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